

Equitable distribution: On GST and the Parliament's Public Accounts Committee report

PAC **recommendations** on GST reforms **will** **resonate with** States

The 19th report of Parliament's Public Accounts Committee (PAC) is appropriately **scathing** in its **criticism** of the Goods and Services Tax (GST) **regime**, introduced in July 2017 to simplify, **unify** and improve indirect tax compliance in India. At the **outset**, the PAC **highlights** a nearly two percentage points drop in indirect tax revenue between FY18 and FY20 — the first two years of GST prior to the COVID-19 pandemic. Among the several **discrepancies flagged**, it is the non-auditing and non-finalisation of the States' Compensation Fund for over six years that **stands out** as particularly troubling. This has **strained** the **functioning** of what was meant to be a unified yet federal tax structure. The PAC notes the Centre's failure to **furnish** the Compensation Fund Account to the Comptroller and Auditor General (CAG), a necessary step to **certify** and release timely **compensation** to States for revenue losses since the **rollout** of GST. The **centralising tendencies** of the GST regime **have** long been a **point of contention** for major revenue-generating States, many of which have raised concerns over diminished **fiscal autonomy** and sharp declines in indirect tax collections. As a destination-based tax, GST is **levied** at the point of consumption, **adversely** affecting manufacturing-heavy States.

To **address** these concerns, the GST (Compensation to States) Act, 2017, **mandated** a Compensation Fund and promised States a 14% annual revenue growth for five years (2017–22), using FY16 as the base year. However, many States have reported either non-receipt of funds or serious delays, which they say have negatively impacted **governance**. The PAC attributes this to the Centre's **indifferent** approach. In one **striking** example, the PAC **cites** 2,447 **inconsistencies** — **amounting to** ₹32,577.73 crore — out of a sample of 10,667 cases — and **criticises** the Finance Ministry's audit approach as "**lackadaisical**". The PAC has recommended establishing a formal mechanism with the CAG to ensure timely **audits** and updates on pending cases. It also **calls for** a comprehensive review to develop a "GST 2.0" — a recommendation that is likely to **resonate** with States demanding a greater share of GST revenues, closer to 70%–80%, up from the current 50%. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Cite** (verb) – Quote, name, mention, refer to, allude to हवाला देना

Vocabulary

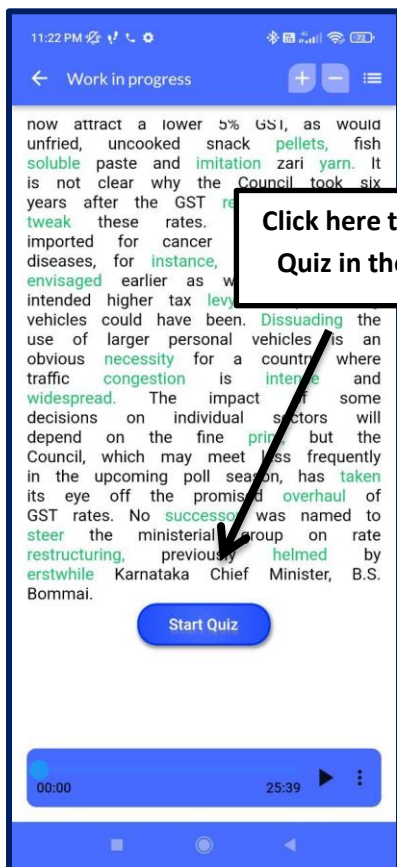
1. **Equitable** (adjective) – Fair, Just, Impartial, Balanced, Even-handed न्यायसंगत
2. **Resonate** (with) (verb) – Connect, Appeal, Strike a chord, Relate, Harmonize गूँजना
3. **Scathing** (adjective) – Harsh, Severe, Biting, Cutting, Blistering कठोर
4. **Criticism** (noun) – Censure, Condemnation, Disapproval, Reproach, Rebuke आलोचना
5. **Regime** (noun) – system, arrangement, scheme, code व्यवस्था
6. **Unify** (verb) – Integrate, Consolidate, Combine, Merge, Amalgamate एकीकृत करना
7. **Outset** (noun) – Beginning, Start, Commencement, Inception, Onset शुरुआत
8. **Highlight** (verb) – Emphasize, Spotlight, Feature, Accentuate, Underscore जोर देना
9. **Discrepancy** (noun) – Inconsistency, Disparity, Variance, Difference, Anomaly विसंगति
10. **Flag** (verb) – Identify, Mark, Point out, Signal, Note – चिह्नित करना
11. **Stand out** (phrasal verb) – Be noticeable, Be prominent, Be conspicuous, Excel, Distinguish उभरना
12. **Strain** (verb) – Stress, Tax, Overburden, Pressure, Stretch तनाव डालना
13. **Functioning** (noun) – Operation, Working, Performance, Running, Activity संचालन
14. **Furnish** (verb) – Provide, Supply, Deliver, Present, Offer प्रस्तुत करना
15. **Certify** (verb) – Verify, Validate, Authenticate, Confirm, Approve प्रमाणित करना
16. **Compensation** (noun) – Reimbursement, Remuneration, Reparation, Indemnity, Payment मुआवजा
17. **Rollout** (noun) – Implementation, Introduction, Launch, Deployment, Commencement शुरुआत
18. **Centralising** (adjective) – Concentrating, Consolidating, Unifying, Centering, Focusing केंद्रीकरण
19. **Tendency** (noun) – Inclination, Propensity, Leaning, Trend, Disposition प्रवृत्ति
20. **Point of contention** (phrase) – Dispute, Controversy, Conflict, Issue, Debate विवाद का बिंदु
21. **Fiscal autonomy** (noun) – It refers to the independence of any institution in deciding how to spend its resources without being constrained by external factors. राजकोषीय स्वायत्तता

22. **Levy** (verb) – Impose, Charge, Collect, Exact, Assess वसूल करना
23. **Adversely** (adverb) – Negatively, Detrimentally, Harmfully, Unfavorably, Damagingly प्रतिकूल रूप से
24. **Address** (verb) – Tackle, Handle, Confront, Deal with, Manage सुलझाना, निपटाना
25. **Mandate** (verb) – Require, Command, Direct, Order, Authorize अनिवार्य करना
26. **Governance** (noun) – Administration, Management, Control, Direction, Oversight शासन
27. **Indifferent** (adjective) – Apathetic, Unconcerned, Uninterested, Detached, Casual उदासीन
28. **Striking** (adjective) – Remarkable, Noticeable, Outstanding, Impressive, Prominent चौंका देने वाला
29. **Inconsistency** (noun) – Discrepancy, Contradiction, Irregularity, Variance, Incongruity असंगति
30. **Amount to** (phrasal verb) – Equal, Constitute, Represent, Add up to, Total के बराबर होना
31. **Criticise** (verb) – Censure, Condemn, Denounce, Blame, Reproach आलोचना करना
32. **Lackadaisical** (adjective) – Lazy, Lethargic, Careless, Negligent, Sluggish लापरवाह
33. **Audit** (noun) – Inspection, Examination, Review, Scrutiny, Verification लेखा परीक्षण
34. **Call for** (phrasal verb) – Demand, Require, Necessitate, Request, Advocate मांग करना

Summary of the Editorial

1. **PAC's Critical Report:** The Public Accounts Committee (PAC) strongly criticizes the GST regime for failing to meet its goals of simplifying and unifying India's indirect tax system.
2. **Revenue Decline:** Indirect tax revenues dropped by nearly 2 percentage points between FY18 and FY20, even before the COVID-19 pandemic.
3. **Compensation Fund Delays:** The States' Compensation Fund has not been audited or finalized for over six years, causing financial strain.
4. **Centre's Accountability Failure:** The Centre has not submitted the Compensation Fund Account to the CAG, delaying compensation to states for GST-related revenue losses.
5. **Federal Tensions:** Major manufacturing states have raised concerns over reduced fiscal autonomy and declining tax revenues under GST.
6. **Destination-Based Tax Issue:** GST, being consumption-based, negatively impacts manufacturing-heavy states.
7. **Compensation Act Promise:** The 2017 GST Compensation Act assured states 14% annual revenue growth for five years (2017–22), with FY16 as the base year.
8. **States' Financial Struggles:** Many states report delayed or missing compensation, harming governance and development.
9. **PAC Blames Centre:** The PAC attributes compensation delays to the Centre's indifferent approach.
10. **Audit Failures:** Out of 10,667 cases sampled, 2,447 discrepancies worth ₹32,577 crore were found, highlighting weak auditing.
11. **Need for CAG Mechanism:** The PAC recommends a formal audit system with the CAG to ensure timely fund releases.
12. **GST 2.0 Proposal:** A comprehensive review is needed to reform GST, addressing structural flaws.
13. **States Demand Higher Share:** Many states want their GST revenue share increased from 50% to 70-80%.
14. **Lack of Transparency:** The Centre's opaque handling of GST funds has eroded trust in the federal tax system.
15. **Call for Equitable Reform:** The PAC's recommendations align with states' demands for fairer revenue distribution and better GST governance.

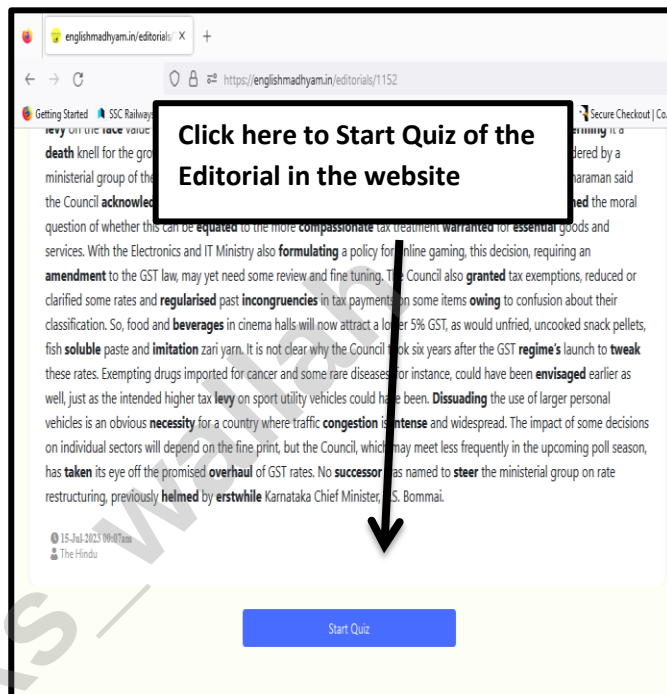
Practice Exercise: Banking Pattern Based



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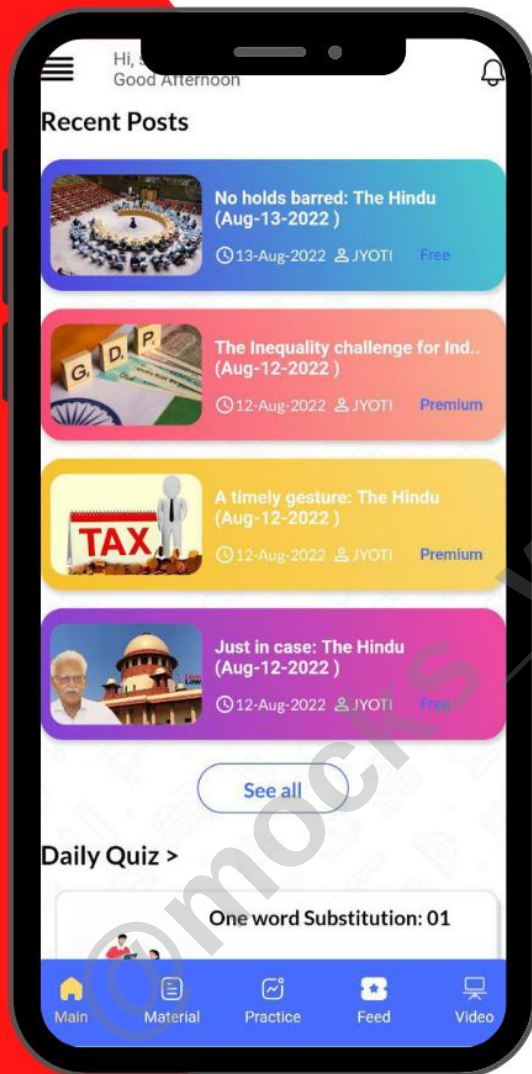
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